Code: DB
Adopted: 7/21/21

Budget

The HCCS budget will serve as the financial plan of operation for HCCS and will include estimates of expenditures for a given period and purpose and the proposed means of financing the estimated expenditures. HCCS may provide that the budget and budget documents are prepared on an annual or biennial basis.

The HCCS budget will be prepared in compliance with generally accepted accounting principles.

The fiscal year will extend from July 1 to June 30 inclusive.

The administrator/principal or designee will be designated as budget officer and will prepare the budget document.

END OF POLICY

Legal Reference(s):

ORS 338.115(2)

OR. DEP'T OF EDUC, PROGRAM BUDGET AND ACCOUNTING MANUAL (2006).

Code: DD
Adopted: 7/21/21

Grant Funding Proposals and Applications

HCCS may pursue federal, state or private grants or other such funds that will assist the school in meeting adopted Board and school goals.

The administrator/principal or designee will review such proposals or applications before submission. The Board will be informed when such grant proposals or applications are submitted and/or awarded as a matter of regular financial reporting.

END OF POLICY

Legal Reference(s):

ORS 294.305 to -294.565

ORS 338.115(2)

Code: DE
Adopted: 7/21/21

Revenues from Private, State and Federal Sources

The HCCS Board may authorize, accept and use private, state or federal funds available to the public charter school to carry out public charter school educational programs. HCCS will comply with all regulations and procedures required for receiving and using such funds.

END OF POLICY

Legal Reference(s):

ORS 294.305 to -294.565

ORS 338.115(2)

Code: DFA-AR
Adopted: Unknown
Revised/Readopted: 7/21/21

Acceptance of Donated Stock/Marketable Securities

An investment account will be maintained with a minimum balance of cash as required to facilitate the donation of stock to HCCS and liquidation of the stock. The maintenance of this account to accommodate these transactions is the responsibility of the administrator/principal or designee and the HCCS finance committee. The business manager will provide a brief summary report reflecting activities within the account and verifying the account balance. Said summary report shall be presented to Board within 60 days following a stock donation and subsequent sell-off. In the absence of stock donations, the committee will provide a summary report to the Board no less than quarterly.

HCCS will liquidate stock, at its earliest opportunity upon receipt. Proceeds from the sale of the stock are considered unrestricted contributed income.

The possible transaction cost of donated stocks is considered small compared to the risk of loss of principal that could potentially be experienced with delay in the sale of the stock.

Assigning the value of the donated stock shall be the sole responsibility of the donor for tax purposes in accordance with the rules and regulations of the Internal Revenue Service and the state of Oregon.

Board policy DFA and this administrative regulation will be communicated to the potential donor of the stock by the business manager or designee to ensure the donor is aware of HCCS's intentions prior to making the donation.

Code: DFA
Adopted: 7/21/21

Investment of Funds

The HCCS Board may authorize the investment or reinvestment of funds which are not immediately needed for the operation of HCCS.

The HCCS administrator/principal and business manager will develop criteria for the appropriate investments of HCCS funds. A progress report of investments will be made to the Board on a regular basis.

The business manager will manage acceptance of donated stock/marketable securities and develop and maintain an administrative regulation for same.

END OF POLICY

Legal Reference(s):

ORS 338.115(2)

Code: DGA
Adopted: 7/21/21

Authorized Signatures

The HCCS Board will, at its annual organizational meeting, or at other times deemed necessary by the Board, authorize the administrator/principal or designee to sign HCCS checks. The Board may authorize the use of facsimile signatures by those persons authorized to sign checks.

END OF POLICY

Legal Reference(s):

ORS 338.115(2)

Code: DIC
Adopted: 7/21/21

Financial Reports and Statements

The Board will receive financial reports that include estimates of expenditures for the general fund in comparison to budget appropriations, actual receipts in comparison to budget estimates and the public charter school's overall cash condition. Supplementary reports on other funds or accounts will be furnished upon request of the Board or administrator.

Appropriate staff will be available at any Board meeting, upon the Board's request, to respond to questions and to present current financial information. The administrator/principal or designee will notify the Board at any time of substantial deviations in the anticipated revenues and/or expenditures.

END OF POLICY

Legal Reference(s):

ORS 294.155
ORS 294.311
ORS Chapter 297
ORS 328.465
ORS 338.095(2)
OAR 162-010-0000 to -0330
OAR 162-040-0000 to -0160
OAR 581-023-0037

OR. DEP'T OF EDUC, PROGRAM BUDGET AND ACCOUNTING MANUAL.

Cross Reference(s):

DIE - Audits

Code: DIE
Adopted: 7/21/21

Audits

An audit of all public charter school accounts will be made annually by an accountant selected by the Board from the roster of authorized municipal accountants maintained by the Oregon Board of Accountancy. The audit examination will be conducted in accordance with minimum auditing standards established by the Secretary of State.

Every year the Finance Committee will review the contract with the audit firm, and if necessary, solicit requests for proposals from authorized municipal accountants.

A copy of the audit report will be presented to the Board. The administrator/principal or designee will submit a copy of the audit report to the school's sponsor (Beaverton School District) and the Oregon Department of Education.

END OF POLICY

Legal Reference(s):

ORS 294.155
ORS Chapter 297
ORS 327.137
ORS 328.465
ORS 338.095(2)
OAR 581-023-0037
OAR 581-026-0210

Cross Reference(s):

DIC - Financial Reports and Statements
DJB - Petty Cash Accounts

Code: DJ-AR
Revised/Reviewed: 7/21/21

Expenditure of Funds for Meals, Refreshments and Gifts

HCCS recognizes there may be occasions when it is appropriate for Board members, administrators and others to expend school funds in the course of conducting HCCS business to provide meals or refreshments (bakery goods, snacks, fruit, punch, coffee, tea, soft drinks, etc.). The purchase of gifts may also be approved, in certain situations. Such occasions may include, but are not limited to, various school meetings, gatherings to celebrate school successes or recognize individual achievements, contributions or outstanding service to the school and other school-sponsored activities. Such expenditures may be made with prior administrator/principal approval only, subject to the provisions of this administrative regulation.

The use of HCCS funds, as used in this regulation, means the use of money in any of the general accounts of the school. Exceptions are funds collected from staff members or others for the specific purpose of providing gifts or parties. It is also recognized that the school may have established a “social fund” or “sunshine fund” to which each staff member may voluntarily contribute. Such funds are generally used for birthday recognition, bereavement and illness acknowledgment activities, etc. These funds are also exempt from the following requirements.

Meals and Refreshments

HCCS funds may be used to pay for individual or group meals only if official school business is being conducted during the time in which the meal is provided and only if the meal provides a particularly practical time or setting for the discussion, consistent with Board policy and the following:

1. Meals may be provided by the school to recognize the contributions of staff, through retirement dinners or other recognition events;

2. Meals may be provided by the school as a part of Board or administrative work sessions, at school committee meetings or other school-approved activities.

Meals not directly business related may be provided to staff or others at the individual’s expense only.

HCCS Board members and administrative staff may use school funds to provide refreshments for staff, parents or others at meetings, in-service programs or other similar school-sponsored activities, not to exceed $15 per participant and subject to the following additional requirements:

1. The $15 limit per participant is not inclusive of gratuity. Gratuity is limited to 15 percent of the total cost;

2. The purchase of alcoholic beverages with school funds is strictly prohibited;

3. The use of school monies for parties is prohibited.

Gifts

There are numerous occasions that may arise whereby Board members, administrators or other school staff may feel the need to recognize employees (i.e., Administrative Professional's Day, employees' week, birthday, etc. A HCCS Board member, administrator or other school employee may provide such recognition only at their expense, unless as otherwise permitted below:

1. The school may provide a small token of appreciation for a Board member's or employee's retirement and years of service and other related activities using school funds, as approved in advance.

2. Administrators may use school funds to provide an appropriate token of appreciation on behalf of the Board. The value of this item may not exceed $50 per person;

3. No other expenditure of school monies for gifts is permitted without prior authorization from the administrator/principal or designee.

Code: DJB
Adopted: 7/21/21

Petty Cash Accounts

Petty cash funds will be established in the amount of $100. Such funds will be used for the payment of properly itemized bills of nominal amounts and under conditions calling for immediate payment. Allowances, responsibility, security and accounting of petty cash funds will be in accordance with Board policy and requirements of law.

Petty cash will not be used to thwart or circumvent established purchasing procedures. It is a convenient accommodation to facilitate immediate acquisition of low-cost goods and services in an efficient manner.

END OF POLICY

Legal Reference(s):

ORS 294.311 ORS 338.115(2)

OR. DEP'T. OF EDUCATION, PROGRAM BUDGET AND ACCOUNTING MANUAL.

Cross Reference(s):

DIC - Financial Reports and Statements
DIE - Audits

Code: DJC-AR
Revised/Reviewed: 7/21/21

Special Procurements and Exemptions from Competitive Bidding

SPECIAL PROCUREMENTS

HCCS shall submit a written request to the Board, acting as the Local Contract Review Board (LCRB), that describes the contracting procedure, the goods and services or class of goods and services that are the subject of the special procurement and circumstances that justify the use of a special procurement under the standards as follows: the special procurement is unlikely to encourage favoritism in the awarding of a public contract or to substantially diminish competition for public contracts and, (A) is reasonably expected to result in substantial cost savings to HCCS or to the public, or (B) otherwise substantially promote the public interest in a matter that could not practicably be realized by complying with requirements that are applicable under Oregon Revised Statute (ORS) 279B.055, 279B.060, 279B.065, 279B.070 or under any related rules. Public notice of the approval of a special procurement must be given in the same manner as provided in ORS 279B.055(4). If HCCS intends to award a contract through special procurements that calls for competition among prospective contractors, HCCS shall award the contract to the contractor it determines to be most advantageous to HCCS. When the LCRB approves a class special procurement HCCS may award contracts to acquire goods and services within the class of goods and services in accordance with the terms of the approval without making a subsequent request for a special procurement.

1. Brand Names or Products, “Or Equal,” Single Seller and Sole Source

    a. HCCS may purchase brand names or products from a single seller or sole source without competitive bidding subject to the limitations of this rule.
    b. Solicitation specifications for public contracts of HCCS shall not expressly or implicitly require any product of any particular manufacturer or seller except as expressly authorized in subsections c. and d. of this rule.
    c. HCCS may specify a particular brand name or equal specification when the use of a brand name or equal specification is advantageous to HCCS, because the brand name describes the standard of quality, performance, functionality and other characteristics of the product needed by HCCS.

        (1) HCCS is entitled to determine what constitutes a product that is equal or superior to the product specified, and any such determination is final;
        (2) HCCS is not prohibited from specifying one or more comparable products as examples of the quality, performance, functionality or other characteristics of the product needed by HCCS;
        (3) A brand name specification may be prepared and used only if HCCS determines for a solicitation or class of solicitations that only the identified brand name specification will meet the needs of HCCS based on one or more of the following written determinations:

(a) The use of a brand name specification is unlikely to encourage favoritism in the awarding of public contracts or substantially diminish competition for public contracts; or
(b) Specification of the brand name, mark or product would result in cost savings to HCCS; or
(c) There is only one manufacturer or seller of the product of the quality, performance or functionality required; or
(d) The efficient utilization of existing goods requires the acquisition of compatible goods and services.

d. HCCS may award a contract for goods or services without competition when the LCRB determines in writing that the goods or services, or the class of goods or services, are available from only one source. The determination of the source must be based upon written findings that shall include:

(1) A brief description of the contract or contracts to be covered, including contemplated future purchases;
(2) Description of the product or service to be purchased; and
(2) The reasons HCCS is seeking this procurement method, which shall include any of the following:

(a) That the efficient utilization of existing goods requires the acquisition of compatible goods or services; or
(b) That the goods or services required for the exchange of software or data with other public or private agencies are available from only one source; or
(c) That the goods or services are for use in a pilot or an experimental project; or
(d) To the extent reasonably practical, the contracting agency shall negotiate with the sole source to obtain contract terms advantageous to the contracting agency.

e. HCCS may specify a product or service available from only one manufacturer but available through multiple sellers after complying with subsection c. above documenting the procurement file with the following information:

(1) If the total purchase is over $10,000 but does not exceed $150,000, and a comparable product or service is not available under an existing Mandatory Use Contract, HCCS must obtain informal competitive quotes, bids or proposals and document this process in the procurement file;
(2) If the purchase does not exceed $150,000, and the supplies or services are not available under an existing price agreement for information technology with competing products or Mandatory Use Contract, HCCS must first request and obtain prior written authorization from the LCRB to proceed with the acquisition.

f. If HCCS intends to make several purchases of brand name-specific supplies and services from a particular manufacturer or seller for a period not to exceed five years, HCCS must so state this in the procurement file and in the solicitation document, if any, or a public notice of a solicitation. If the total purchase amount is estimated to exceed $150,000, this shall be stated in the advertisement for bids or proposals.

Findings of Fact/Conclusion of Compliance with Law (OAR 125-247-0275)

HCCS shall submit a written request to the local contract review board that describes the contracting procedure, goods and services subject of the special procurement and the circumstances that justify the use of the special procurement.

a. It is unlikely that this special procurement will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts and is reasonably expected to result in substantial cost savings to HCCS which could not be realized under ORS 279B.055, 279B.060, 279B.065 or 279B.070 as required by ORS 279B.085(4).
b. Public notice of the approval must be given in the same manner as provided in ORS 279B.055(4).
c. This rule requires HCCSs to make a good faith effort to determine that no other sources are available for the specified products.
d. HCCS maintains open lists from which vendors are contacted for quotations and utilizes electronic means of determining new vendors on an ongoing basis.
e. The awarding of a contract as described in this special procurement should result in substantial cost savings by virtue of the ability to reduce solicitation costs when it is known that comparable products are not available, or when specifying another product solely to meet a competition requirement might lead to lower initial cost but longer lifetime cost.
f. When the local review board approves a class special procurement HCCS may award contracts to acquire goods and services within the class of goods and services in accordance with the terms of the approval without making a subsequent request for procurement.

2. Advertising Contracts, Purchase of

a. HCCS may purchase advertising in any media, regardless of a dollar amount, without competitive bidding.
b. The Board acting as the LCRB of HCCS must use competitive methods whenever possible to achieve best value and must document in the procurement file the reasons why a competitive process was deemed impractical and the resulting contract must be in writing.
c. If the anticipated purchase exceeds $10,000 and a competitive method is used, HCCS must post notice on the Oregon Procurement Information Network (ORPIN).

Findings of Fact

HCCS traditionally purchases advertising in newspapers. The following findings relate primarily to newspapers and written publications; however, HCCS may also purchase advertising for student activities or educational programs in other media, such as radio or television, where these findings apply:

a. By their nature, media sources are generally unique. Advertisements are placed in a particular source because of the specific audience that source serves;
b. Competition to furnish advertising space in daily newspapers of general, trade or business circulation in the vicinity of HCCS is limited;
c. Cost savings are difficult to quantify where the sources are unique and not interchangeable;
d. Advertisements may be placed to satisfy legal notice or Board policy requirements;

e. Other published advertisements or notices, such as routine public notices, personnel recruitment information, etc., are placed in one or more of the publications of general circulation in the local area and other publications, as appropriate;

f. The communities served by HCCS rely upon its use of the local daily newspaper as a central source of news and information regarding public charter school activities;

g. It is unknown whether contracts for advertisements placed with radio, television or other broadcast media are going to result in cost savings if not placed for competitive bid or request for proposal (RFP). If possible savings could be obtained through competitive means, HCCS would attempt to obtain competitive quotes or bids, as appropriate.

Conclusion of Compliance with Law

Due to limited competition and unique nature of sources, it is unlikely that this class special procurement will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts. Further, any contracts awarded under this class special procurement would result in a cost savings available to HCCS where HCCS can achieve volume savings through contracts for advertising with a particular media source, or otherwise substantially promote the public interest.

3. Advertising Contracts, Sale of

HCCS may sell advertising for public charter school publications and activities, regardless of a dollar amount, without competitive bidding, including school newspapers, yearbooks, athletic programs, drama or music programs and the like.

Findings of Fact

Sales of advertising for student activities are generally other fund revenues, where student groups solicit advertisements from local businesses to help with the cost of the activity itself. A common example is the sale of advertising in school newspapers and yearbooks. The circulation of the newspaper and yearbook is limited to the students, teachers, parents and interested members of the community associated with the activities of that particular school. Due to the limited circulation and audience, the businesses that participate by purchasing advertising do so partly in the spirit of good will. Any business is welcome to place an advertisement in the school newspaper or yearbook; all it needs to do is to contact any public charter school department which publishes one. HCCS itself would not achieve any increased revenue to the General Fund by seeking competitive bids or proposals for such advertising. This holds true for other student activities, such as athletics, drama or music events and the like.

Conclusion of Compliance with Law

These findings indicate that it is unlikely that this special procurement will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts. Any business or individual who wishes to advertise in this manner may do so by simply contacting the student group responsible for the activity.

The sale of advertising for student activities such as school newspapers, yearbooks, athletic, drama or music programs would not benefit from competitive procurement. Such a requirement would place an unnecessary burden on the student group's activity and there is no financial advantage to HCCS in doing so. Consequently, the cost savings test is not an issue.

4. Equipment Repair and Overhaul

   a. HCCS may enter into a public contract for equipment repair or overhaul without competitive bidding, subject to the following conditions:

      (1) Service or parts required are unknown and the cost cannot be determined without extensive preliminary dismantling or testing; or
      (2) Service or parts required are for sophisticated equipment for which specially trained personnel are required and such personnel are available from only one source; and
      (3) The purchase is made within the limits and pursuant to the methods in subsection b. of this rule.

   b. The following limitations apply to this rule:

      (1) If the contract is less than or equal to $150,000, the school or department shall submit in writing to the administrator/principal or designee the reasons why competitive bids or quotes are deemed to be impractical. The administrator/principal or designee will accordingly document in its procurement file and may enter directly into the contract;
      (2) If the school or department official thinks the contract may exceed $150,000, a reason why competitive bidding is deemed to be impracticable and a description of the cost savings to be obtained by a special procurement shall submit in writing to the administrator/principal or designee. The administrator/principal or designee may prepare a specific request for the anticipated contract to be obtained through special procurement procedures to submit to the LCRB for approval.

Findings of Fact

a. The need for equipment repair or overhaul cannot be anticipated by public charter school staff. If a piece of equipment is broken or not working properly, HCCS incurs cost of downtime, possible replacement equipment rental fees, staff time and other inconveniences or liabilities to its programs.
b. Generally, there are a limited number of vendors who are able to perform repair or overhaul on a particular piece of equipment because of its make or manufacture. Sophisticated equipment may require specially trained personnel available from only one source. Often, a piece of equipment will have a partial warranty in place which will guarantee some savings to HCCS in the parts and/or labor needed to do the repair or overhaul. This warranty savings may only be achieved if the original manufacturer or provider of the equipment performs the necessary repair or overhaul.
c. The dollar limits on the use of this special procurement procedure ensure that when the cost of the equipment repair or overhaul is expected to exceed $150,000, HCCS will either seek formal competitive bids or, if that is not practical or cost effective, obtain a specific special procurement procedure from the LCRB to proceed with the purchase of the needed repair or overhaul.

Conclusion of Compliance with Law

It is unlikely that this special procurement procedure will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts because the dollar limits incorporated into this special procurement when the anticipated costs exceed $150,000, insure HCCS will seek formal competitive bids and proposals. If the formal process is not practical, HCCS will obtain a specific exemption from the LCRB to proceed with the purchase of the needed repair or overhaul.

The awarding of public contracts under this special procurement will result in a cost savings to HCCS, as required by ORS 279B.085, because HCCS incurs direct and indirect costs from the moment equipment breaks down or becomes unusable. This special procurement only applies to equipment already owned by HCCS and does not provide for the purchase of new equipment. HCCS must be able to purchase necessary services and parts as quickly as possible in order to minimize equipment downtime and potential costs during that downtime.

5. Copyrighted Materials

HCCS may, without competitive bidding and regardless of a dollar amount, purchase copyrighted materials where there is only one known supplier available for such goods. Examples of copyrighted materials covered by this special procurement procedure may include, but are not necessarily limited to, newly adopted textbooks/instructional materials, workbooks, curriculum kits, reference materials, audio and visual media and non-mass-marketed software from a particular publisher or their designated distributor.

Findings of Fact

a. By their nature, copyrighted materials are protected for the use of a single owner. Copyrighted materials may not be duplicated by others without the copyright owner's permission or license. Copyrights are established and regulated under federal law.
b. Often, copyrighted materials are produced by only one supplier who may be the owner of the copyright or his/her licensee. Textbooks/Instructional materials are examples of copyrighted materials that HCCS purchases through a sole source. Textbooks/Instructional materials are adopted through a statewide process under the authority of the Oregon Department of Education. A textbook/instructional material adoption defines the various materials which HCCS will purchase for use in its educational programs.

   HCCS purchases its textbooks/instructional materials through the Northwest Textbook Depository. This practice enables the regional textbook depository to purchase and warehouse textbooks/instructional materials in conformance with adoptions made in the states of their region. The result is that savings are achieved through the depository's combined purchases on behalf of members. Freight costs for individual public charter schools are reduced by the bulk purchases of the depository and the depository takes on the cost of stocking and warehousing enough to meet each members' needs.

   The system of textbook/instructional materials distribution enables HCCS to participate in the largest possible bulk purchasing activity of adopted textbooks/instructional materials in the region. This ensures a cost savings to HCCS. A savings that would be jeopardized if HCCS was to act as an individual purchaser.

Conclusion of Compliance with Law

This special procurement will not encourage favoritism or substantially diminish competition in the awarding of public contracts. The production and distribution of copyrighted materials is controlled by the owner of the copyright and may only be permitted through a sole source. HCCS has no control over this.

The awarding of contracts pursuant to this special procurement will result in a cost savings to HCCS when it needs to purchase copyrighted materials and there is only one known supplier for such goods, or otherwise substantially promote the public interest.

6. Product Prequalification

a. When specific design or performance specifications must be met or such specifications are impractical to create or reproduce for a type of product to be purchased, HCCS may specify a list of approved or qualified products by reference to the prequalified product(s) of particular manufacturers or vendors in accordance with the following product prequalification procedure:

(1) HCCS will make reasonable efforts to notify all known manufacturers and vendors of competing products of HCCS's intent to compile a list of prequalified products. The notice will explain the opportunity manufacturers and vendors of competing products will have to apply to have their product(s) included on HCCS's list of prequalified products. At its discretion, HCCS may provide notice by advertisement in a trade paper of general statewide circulation or other appropriate trade publication; or instead of advertising, HCCS may provide written notice to those manufacturers and vendors appearing on the appropriate list maintained by HCCS; and

(2) HCCS will accept manufacturer and vendor applications to include products in HCCS's list of prequalified products up to 15 calendar days prior to the initial advertisement for bids or proposals for the type of product to be purchased, unless otherwise specified in the advertisement or in HCCS's written notice.

b. If HCCS denies an application for including a product on a list of prequalified products, HCCS shall promptly provide the applicant with a written notice of the denial and include the reason for denial. The applicant may submit a written appeal within seven calendar days to the HCCS administrator/principal or designee to request review and reconsideration of the denial.

Findings of Fact

a. There are occasions when HCCS needs to establish a list of prequalified products before it invites bids or proposals to furnish the products. HCCS may have a specific performance or design need, but it is impractical for HCCS to create a specification for the type of products to be purchased. An example is audiovisual equipment. There is a tremendous variety of audiovisual products offered in the market. The equipment technology is complex and constantly changing. It would be very burdensome and time consuming for HCCS to generate nonbrand name, generic performance specifications for such equipment every time it wants to make a purchase.

Also, competition would be poorly served because bidders and proposers would not know in advance whether their offered product would meet the general specification substantially enough to be considered a responsive offer. The decision to make an award would be slow, because each product offered would have to be analyzed against HCCS's specification. Slowdown in the award process affects both bidders, who are asked to hold their bids open until award is made, and public charter school programs, because staff are not able to order the equipment they need until the contract is awarded.

In this case, it might be more cost effective and efficient for HCCS to prequalify products and establish a list of approved products before invitations to bid are sent out. The prequalification process can be done some time before the need for a new contract. Once the prequalified product list is established, the bidding and contract award process can go quickly and smoothly.

b. A second occasion when prequalification of products will be useful is when the specific design or performance specifications for a product are so exacting that HCCS must have time to carefully consider what is offered in the market that may or may not meet the specifications and, if necessary, reconsider its options before issuing an invitation to bid.

c. This rule sets out a process of prequalification which requires the use of advertisement or other appropriate means to notify vendors of competing products of their opportunity to submit items for prequalification. HCCS maintains vendor mailing lists which are open to all interested vendors. HCCS uses these lists routinely to notify vendors of its intentions to prequalify products or to invite bids on products.

d. This includes a 15-day time limit between the closure of a prequalification list and a related invitation to bid. This time factor ensures that vendors have a reasonable time to apply to include their products on a prequalified product list.

e. Subsection b., of this rule provides vendors with an appeal process to follow if their application for prequalification is denied.

Conclusion of Compliance with Law

Where prequalification of products is appropriate, it is unlikely that this special procurement will encourage favoritism in the awarding of public contracts or diminish competition for such contracts. There are several safeguards in the rule to prevent this, including notice, advertising, time and appeal process requirements to ensure that vendors are given a fair and open opportunity to participate in the prequalification process.

The prequalification of products process is a time-consuming effort for HCCS. It is not a shortcut procurement method. HCCS would use this method only after balancing cost-saving considerations, such as the ability of HCCS to create or generate nonbrand name generic specifications for types of products or the need for lengthy product

evaluation prior to a contract award. If the prequalification method is chosen, it will result in a cost savings to HCCS because the normal method of product selection is too cumbersome and costly to pursue, or otherwise substantially promote the public interest.

7. Requirements Contracts (Blanket Purchase Orders, Price Agreements)[1]

a. The administrator/principal or designee, on behalf of HCCS, may establish requirements contracts for the purposes of minimizing paperwork, achieving continuity of product, securing a source of supply, reducing inventory, combining public charter school requirements for volume discounts, standardization among school and departments and reducing lead time for ordering.
b. HCCS may enter into a requirements contract (also known as a blanket purchase order or price agreement) whereby it is agreed to purchase goods or services for an anticipated need at a predetermined price or price discount from a price list, provided the contract is led by a competitive procurement process pursuant to the requirements of the public contracting code and these rules.
c. Once a requirements contract is established, schools and departments may purchase the goods and services from the awarded contractor without first undertaking additional competitive solicitation.
d. School and departments shall use requirements contracts established by HCCS, unless otherwise specified in the contract, allowed by law or these rules or specifically authorized by the administrator/principal or designee.
e. Under the authority of ORS 279A.025 and 279B.085, HCCS may use the requirements contracts entered into by another Oregon public agency when:

    (1) The original contract met the requirements of public contracting code; and
    (2) The original contract allows other public agency usage of the contract; and
    (3) The original public contracting agency concurs and this is documented by a written interagency agreement between HCCS and the agency.

f. The term of any public charter school requirements contract, including renewals, shall not exceed five years unless otherwise permitted under the public contracting code.

Findings of Fact

a. This rule permits HCCS to enter into a requirements contract, in which the vendor agrees to provide specified goods and services over the term of the contract at the bid price or discount rate. A requirements contract is useful when the purchase of the goods or services are routine and repetitive. For example, school, office, custodial and facilities maintenance supplies are customarily purchased through requirements contracts.
b. Requirements contracts are a common method of minimizing paperwork, achieving continuity of product, securing a source of supply, reducing inventory, obtaining volume discounts, standardizing usage among schools and departments and reducing lead time for ordering.
c. HCCS establishes a requirements contract as a result of open competitive bidding or RFP processes, unless otherwise permitted under the public contracting code.

[1] The Oregon Procurement Information Network (ORPIN) allows authorized members to utilize the state's price agreement/contracts to purchase goods and services. Authorized Oregon Cooperative Procurement Program (ORCPP) members can legally attach to a state price agreement and forego the competitive bid process. Access to hundreds of competitive price contracts for a wide variety of goods and services: vehicles, computers, furniture, copiers, fax machines, travel, pharmaceuticals, office products, etc., is available. Counties, cities, schools, municipalities or their public corporate entities having local governing authority, a United States governmental agency or American Indian tribe or agency are eligible to participate.

d. HCCS limits the term of a requirements contract, including all renewal options, to a maximum of five years before competitive rebidding must be done, unless otherwise permitted under the public contracting code.
e. HCCS may use the requirements contracts established by other public agencies, subject to certain conditions of state law, Board policy and administrative regulation.

Conclusion of Compliance with Law

It is unlikely that this special procurement will result in favoritism in the awarding of public contracts or diminish competition for such contracts. HCCS will only enter into requirements contracts which result from open competitive bidding processes. This condition applies also to the use of requirements contracts established by other public contracting agencies.

The awarding of public charter school requirements contracts will result in a cost savings to HCCS, or otherwise substantially promote the public interest. It would be costly and inefficient to make routine, repetitive purchases of goods and services through individual transactions. Also, the guaranteed volume of a requirements contract allows HCCS to get better prices from bidders.

8. Used Personal Property or Equipment, Purchase[2]

a. Subject to the provisions of this rule, HCCS may purchase used property or equipment without obtaining competitive bids or quotes, if HCCS has determined that the purchase will result in cost savings to HCCS and will not diminish competition or encourage favoritism. "Used personal property or equipment" is property or equipment which has been placed in its intended use by a previous owner or user for a period of time recognized in the relevant trade or industry as qualifying the personal property or equipment as "used" at the time of public charter school purchase. Used personal property or equipment generally does not include property or equipment if HCCS was the previous user, whether under a lease, as part of a demonstration, trial or pilot project or similar arrangement.
b. For purchases of used personal property or equipment costing less than or equal to $150,000, HCCS shall, where feasible, obtain three competitive quotes unless HCCS has determined and documented that a purchase without obtaining competitive quotes will result in cost savings to HCCS and will not diminish competition or encourage favoritism.
c. For purchases of used personal property or equipment totaling $150,000 or more, HCCS shall attempt to obtain three competitive quotes. HCCS will keep a written record of the source and amount of quotes received. If three quotes are not available, a written record must be made of the attempt to obtain quotes.

Findings of Fact

a. HCCS is responsible to manage expenditures in the best interests of the public. Cost savings can be achieved through the procurement of used property and equipment. HCCS purchases used property and equipment when it meets HCCS's needs and is cost effective. Considerations include type, quality, quantity and estimated useful life of the used item.

[2] When contracting with another governmental entity, a public charter school has a statutory exception under ORS 279A.025. HCCS may purchase state/federal surplus property through the Department of Administrative Services (DAS), State Services Division for Surplus Property. For more information on this program, contact DAS at 503-378-3014.

b. Used equipment and property becomes available sporadically and without notice. Used equipment and property is generally sold on a first-come, first-served basis. When used property or equipment does become available, HCCS must be able to respond immediately in order to obtain the property or equipment.
c. Some types of property or equipment may not be readily available in the new goods market. HCCS may have to look for used items to fill the need.
d. Competition to provide used property and equipment may be very limited and inconsistent, depending on the type of product.
e. HCCS maintains vendor lists which include information on whether a vendor provides used property or equipment. These lists are open to all vendors.

Conclusion of Compliance with Law

It is unlikely that this special procurement will encourage favoritism in the award of public contracts or substantially diminish competition for such contracts. The purchase of used property or equipment depends on an inconsistent, sporadic market. When a used item is available, there is often little competition available. Sources for used items of the type, quality and quantity required by HCCS are inconsistent. This rule requires HCCS to attempt to obtain and document quotes as appropriate to the dollar amount of the purchase. If the anticipated purchase is over $150,000, HCCS will advertise its need.

The use of this special procurement will result in a cost savings to HCCS, or otherwise substantially promote the public interest. The cost of used equipment or property is generally substantially less than that of new. Savings of 20 percent to 50 percent are not uncommon. Used equipment can provide good value to HCCS and help ensure the continuation of public charter school services and programs.

9. Information Technology Contracts

HCCS may enter into a contract to acquire information technology hardware and software without competitive bidding subject to the following conditions:

a. If the contract amount does not exceed $150,000, HCCS shall attempt to obtain three competitive quotes pursuant to the rules governing Intermediate Procurements. HCCS shall keep a written record of the sources of the quotes or proposals received. If three quotes or proposals are not reasonably available, fewer will suffice, but HCCS shall make a written record of the effort made to obtain the quotes or proposals.
b. If the contract amount exceeds $150,000, HCCS shall determine and use the best procurement method, pursuant to the public contracting code and these rules, and shall solicit written proposals in accordance with the requirements of the *Attorney General's Model Public Contract Rules*. HCCS shall document the evaluation and award process, which will be part of the public record justifying the award;
c. If the amount of the contract is estimated to exceed $150,000, HCCS shall provide proposers an opportunity to review the evaluation of their proposals before final selection is made.

Findings of Fact

a. Rapid changes in technology make it necessary for HCCS to be able to purchase needed computer equipment quickly.

b. Pricing for high-technology equipment also changes rapidly. It is frequently possible to take advantage of frequent price changes in the marketplace in the purchase of computer equipment.
c. There is generally sufficient competition among vendors of information technology hardware and software for public charter school business.
d. HCCS will follow rules governing special procurements and obtain at least three informally solicited quotes for purchases less than or equal to $150,000.
e. If HCCS requires a brand name or sole source product, HCCS will follow its rule governing Brand Names or Products, "Or Equal," Single Seller and Sole Source, Section 1. under Special Procurements, to procure it.

Conclusion of Compliance with Law

It is unlikely that this special procurement will encourage favoritism in the award of public charter school contracts or substantially diminish competition for public charter school contracts. The purchase of information technology hardware and software will be made in accordance with other competitive bidding rules contained in this administrative regulation. If the anticipated purchase is over $150,000, HCCS will advertise its need.

The use of this special procurement will result in a cost savings to HCCS, or otherwise substantially promote the public interest. Competition will be encouraged at all dollar levels of purchase of information technology hardware and software. This rule gives HCCS some flexibility in selecting the method of competitive procurement but requires adherence to the rule on brand name or sole source acquisitions if those situations occur.

10. Telecommunications Systems - Hardware and Software Contracts

a. HCCS may enter into a contract to acquire telecommunications system hardware and software, without competitive bidding, subject to the following conditions:

(1) If the contract amount does not exceed $150,000, HCCS shall attempt to obtain three competitive quotes pursuant to the rules governing Intermediate Procurements. HCCS shall keep a written record of the sources of the quotes or proposals received. If three quotes or proposals are not reasonably available, fewer will suffice, but HCCS shall make a written record of the effort made to obtain the quotes or proposals.
(2) If the contract amount exceeds $150,000, HCCS shall determine and use the best procurement method, pursuant to the public contracting code and these rules and shall solicit written proposals in accordance with the requirements of Chapter 137, Divisions 047 and 049 of the *Attorney General's Model Public Contract Rules*. HCCS shall document the evaluation and award process, which will be part of the public record justifying the award.

b. The telecommunications solicitation authorized in subsection 10.a.(1) of these rules shall:

(1) State the contractual requirements in the solicitation document;
(2) State the evaluation criteria to be applied in awarding the contract and the role of any evaluation committee. Criteria that would be used to identify the proposal that best meets HCCS's needs may include, but are not limited to, cost, quality, service and

support, compatibility, product or system reliability, vendor viability and financial stability, operating efficiency and expansion potential;

(3) State the provisions made for bidders or proposers to comment on any specifications which they feel limit competition; and

(4) Be advertised in accordance with applicable provisions of the public contracting code.

Findings of Fact

a. Rapid changes in technology make it necessary for HCCS to be able to purchase needed telecommunications hardware and software quickly.

b. Since deregulation, there is generally adequate competition among vendors of telecommunication hardware and software to allow HCCS to make competitive purchases.

c. Pricing for telecommunications hardware and software also changes frequently. It is important for HCCS to take advantage of price competition in the marketplace.

d. HCCS will follow procedures governing special procurements and document reasonable efforts to obtain at least three informally solicited quotes for purchases over $10,000 but less than or equal to $150,000.

e. If a purchase of telecommunications hardware or software is expected to cost more than $150,000, HCCS will use a formal competitive bidding or proposal process in accordance with these rules and the *Attorney General's Model Public Contract Rules*.

f. There are also times when HCCS needs to purchase specific items that are compatible with current equipment. On these occasions, HCCS will follow its rule governing Brand Names or Products, "Or Equal," Single Seller and Sole Source, Section 1. under Special Procurements, to make the purchase.

Conclusion of Compliance with Law

It is unlikely that this special procurement will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts. The purchase of telecommunications hardware and software will be made in accordance with other competitive bidding rules herein. If the anticipated purchase is over $150,000, HCCS will advertise its need.

The use of this special procurement will result in a cost savings to HCCS, or otherwise substantially promote the public interest. Competition will be encouraged at all dollar levels of purchase of telecommunications hardware and software. This rule gives HCCS some flexibility in selecting the method of competitive procurement but requires adherence to the rule on brand name or sole source acquisitions if those situations occur.

11. Telecommunications Services

a. HCCS shall secure the most competitive, cost-effective telecommunications services of the quality needed to meet all service performance requirements while minimizing administrative and service delivery costs. HCCS will use routine purchasing procedures whenever possible, but if necessary, HCCS can consider alternative procurement methods in accordance with this rule.

   HCCS will generally follow the normal competitive procurement processes in obtaining telecommunications services. This process will only be used if necessary where there is a lack of sufficient competition to furnish needed services.

b. In determining the appropriate procurement method for telecommunications services, HCCS shall comply with the requirements of ORS 291.038 and determine whether competition exists. In determining whether competition exists, HCCS may consider the following factors:

(1) The extent to which alternative providers exist in the relevant geographic and service market; the greater area of Washington County;
(2) The extent to which alternative services offered are comparable or substitutable in technology, service provided and performance. For example, if HCCS requires digital services, analog services are not comparable or substitutable. If HCCS requires fiber optic technology, then copper, microwave or satellite transmission technology may not be comparable or substitutable;
(3) The extent to which alternative providers can respond to HCCS's interest in consistency and continuity of services throughout its service area, volume discounts, equitable service for all users, centralized management and limiting public charter school liability. For example, to be considered as HCCS's long-distance service provider, any long-distance service vendor must be able to meet, support and interface with HCCS's centralized automated billing requirements. HCCS must document for the record, its findings on these factors or any other factors used in determining whether competition exists. In developing its findings, HCCS may solicit the information either through informal telephone or written contacts or through a formal solicitation such as a RFP.

c. If HCCS determines that competition does not exist in the area for the relevant service, HCCS may proceed to secure the service on a sole source basis, as described in HCCS's rule governing Brand Names or Products, "Or Equal," Single Seller and Sole Source, Section 1. under Special Procurements.

Findings of Fact

a. Since deregulation, there is generally adequate competition among vendors of telecommunication services to allow HCCS to make competitive procurements.
b. Since there is competition, price competition exists in the marketplace. It is important for HCCS to take advantage of existing competition.
c. HCCS will follow its rules governing special procurements and document reasonable efforts to obtain at least three informally solicited quotes for purchases less than or equal to $150,000. HCCS shall keep a written record of the sources of the quotes or proposals received. If three quotes or proposals are not reasonably available, fewer will suffice, but HCCS shall make a written record of the effort made to obtain the quotes or proposals.
d. If a purchase of service is expected to cost more than $150,000, HCCS will use a formal competitive bidding or proposal process in accordance with these rules and the *Attorney General's Model Public Contract Rules*.
e. There may be occasions where there is limited competition that can furnish telecommunications services of the quality and extent required by public charter school operations. In such instances, HCCS will follow this rule and also its rule governing Brand Names or Products, "Or Equal," Single Seller and Sole Source, Section 1. under Special Procurements, to procure needed services from the sole source.

Conclusion of Compliance with Law

It is unlikely that this special procurement will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts. Routinely, the purchase of telecommunications services will be made in accordance with other competitive bidding rules contained in this administrative regulation. If the anticipated purchase is over $150,000, HCCS will advertise its need, issue a written solicitation document and invite written bids or proposals to be furnished in response.

There may be circumstances, however, where sufficient competition does not exist in the relevant geographic and service market area. In such cases, HCCS will follow this rule in determining whether sufficient competition exists to make a competitive procurement.

The use of this special procurement will result in a cost savings to HCCS, or otherwise substantially promote the public interest. Competition will be encouraged at all dollar levels of purchase of telecommunications hardware and software. This rule gives HCCS some flexibility in selecting the method of competitive procurement but requires adherence to the rule on brand name or sole source acquisitions if those situations occur. The rule also states the steps to be taken to document situations where sufficient competition may not exist and a sole source purchase needs to be made.

12. Hazardous Material Removal; Oil Cleanup

    a. HCCS may enter into public contracts without competitive bidding, regardless of a dollar amount, when ordered to clean up oil or hazardous waste pursuant to the authority granted to the Oregon Department of Environmental Quality (DEQ) under ORS Chapter 466, especially ORS 466.605 through 466.680. In exercising its authority under this exemption, HCCS shall:

        (1) To the extent reasonable under the circumstances, encourage competition by attempting to make informal solicitations or to obtain informal quotes from potential suppliers of goods and services;
        (2) Make written findings describing the circumstances that require the cleanup or maintain a copy of the DEQ order for the cleanup;
        (3) Record the measures taken under a.1. of this rule to encourage competition, the amount of the quotes or proposals obtained, if any, and the reason for selecting the contractor to whom award is made.

    b. HCCS shall not contract pursuant to this special procurement in the absence of an order from the DEQ to clean up a site which includes a time limit that would not allow HCCS to hire a contractor under normal competitive bidding procedures. Goods and services to perform other hazardous material removal or cleanup will be purchased in accordance with normal competitive bidding procedures as described in Board policy with this administrative regulation.

Findings of Fact

a. When the DEQ orders a public agency to remove or clean up hazardous material or oil, the public agency must respond within a very short time, which is stated in the DEQ order. This time period does not generally allow the agency to take the time necessary to solicit written bids or proposals for the work to be performed. HCCS would be liable for any delay in responding to DEQ orders to perform hazardous material removal or cleanup.

b. This exemption will not be used in those situations where there is no DEQ order to remedy the situation. Routine competitive procurement methods will be used where there is no DEQ order to act immediately. HCCS maintains open lists of vendors who are interested in providing hazardous material removal and cleanup services. Whenever it needs hazardous material removal or disposal, HCCS makes use of these lists to solicit quotes, bids or proposals as needed, in addition to advertising the procurement as required.

c. Cost savings are achieved through this exemption because HCCS can be liable for DEQ penalties and fines if it does not timely remove hazardous materials or oil as ordered. There is also serious risk in these situations, that property damage or personal injury could result if HCCS is slow to act.

Conclusions of Compliance with Law

It is unlikely that this special procurement will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts as required by ORS 279B.085 (3)(a). If it is under DEQ order to act immediately, HCCS will still attempt to obtain competitive quotes for the work to be performed as it has the ability and time to do so. Unless HCCS is faced with the quasi-emergency situation of a DEQ order to remove or clean up hazardous waste or oil, it will follow normal competitive procedures to obtain these services.

The award of public contracts pursuant to this special procurement will result in a cost savings to HCCS in these situations, as required by ORS 279B.085 (3)(b), because HCCS must comply with the law and avoid and minimize risk to persons and property. Where possible, it will seek competitive quotes for the work to be performed and will award the contract to the lowest, responsive and responsible bidder.

13. Renegotiation of Existing Contracts with Incumbent Contractors

a. HCCS may amend or renegotiate contracts with existing vendors, service providers or other parties subject to the limitations of this rule.

b. HCCS has determined that value engineering, specialized expertise required, public safety and technical complexity, generally do not apply to this special procurement procedure.

c. The renegotiated contract falls within a current special procurement procedure, but if not the LCRB must approve a separate special procurement.

d. HCCS may renegotiate certain terms, but they must not unreasonably alter the scope of the original contract.

Findings of Fact

a. The LCRB may amend contracts when it is in the best interest of HCCS. The administrator/principal and/or designee, acting on behalf of the LCRB, may renegotiate certain provisions, including:

(1) Price;
(2) Term;
(3) Delivery and shipping;
(4) Order size;

(5) Substitution;
(6) Warranties;
(7) Online ordering systems;
(8) Price adjustments;
(9) Product availability;
(10) Product quality;
(11) Reporting requirements; or
(12) Discounts.

Any contract amendment will be supported by legal consideration when necessary to validate the amended provision.

b. The amended terms must be within a reasonable scope of the original contract, but not fundamentally alter the agreement or nature of goods or services. Public charter schools may, however, request functionally equivalent substitutes for goods or services in the original contract.
c. The contract as a whole must be more favorable to the individual needs of HCCS to justify renegotiation. Cost may be a factor in determining what is a favorable change to the original contract, but HCCS may use factors other than cost that demonstrate that the amended contract is more favorable to the unique needs of HCCS.

Conclusion of Compliance with Law

This special procurement will not encourage favoritism or substantially diminish competition in awarding public contracts because it already exists as a contract awarded in compliance with HCCS's special procurement and public contracting code.

The awarding of contracts under this special procurement will result in cost savings to HCCS when it needs to renew its original contract with vendors, service providers or other parties, or otherwise substantially promote the public interest.

EXEMPTIONS FROM COMPETITIVE BIDDING

All public contracts shall be based upon competitive bids or proposals, except the following:

1. Contracts which have been specifically exempted under ORS 279A.025 and 279C.335; and

2. Contracts covered by the class exemptions in the following set of rules developed pursuant to ORS 279C.335(2) and (5) and based on Oregon Administrative Rules, Chapter 137, Divisions 46 through 49.

The Board, acting as the LCRB for HCCS, has made the findings required by ORS 279C.330, ORS 279C.335 and ORS 279C.345, and determined that awarding a contract under this exemption is unlikely to encourage favoritism or substantially diminish competition for the public contract and will likely result in a substantial cost savings and other substantial benefits to HCCS.

In approving a finding under this section, the local contract review board shall consider the type, cost and amount of the contract and, to the extent applicable to the particular public improvement contract or class of public improvement contracts, the following:

1. How many persons are available to bid;
2. The construction budget and the projected operating costs for the completed public improvements;
3. Public benefits that may result from granting the exemption;
4. Whether value engineering techniques may decrease the cost of the public improvement;
5. The cost and availability of specialized expertise that is necessary for the public improvement;
6. Any likely increases in public safety;
7. Whether granting the exemption may reduce risks to HCCS or the public that are related to the public improvement;
8. Whether granting the exemption will affect the sources of funding for the public improvement;
9. Whether granting the exemption will better enable HCCS to control the impact that market conditions may have on the cost of and time necessary to complete the public improvement;
10. Whether granting the exemption will better enable HCCS to address the size and technical complexity of the public improvement;
11. Whether the public improvements involve new construction or renovates or remodels an existing structure;
12. Whether the public improvement will be occupied or unoccupied during construction;
13. Whether the public improvement will require a single phase of construction work or multiple phases of construction work to address specific project conditions; and
14. Whether HCCS has or has retained under contract, and will use public charter school personnel, consultants and legal counsel that have necessary expertise and substantial experience in alternative contracting methods to assist in developing the alternative contracting method that HCCS will use to award the public improvement contract and to help negotiate, administer and enforce the terms of the public improvement contract.

Only these findings are required for each class or individual contract exemption, unless the LCRB specifically excludes a finding or includes an additional finding.

Promulgation of these exemptions can only occur after public notification and a public hearing to receive testimony pertaining to the draft exemptions and findings, pursuant to ORS 279C.335.

1. Brand Names or Products, “Or Equal,” Single Seller and Sole Source

    a. HCCS may purchase brand names or products from a single seller or sole source without competitive bidding subject to the limitations of this rule.
    b. HCCS has determined that value engineering, specialized expertise required, public safety and technical complexity, generally do not apply to this exemption.

c. Solicitation specifications for public contracts of HCCS shall not expressly or implicitly require any product of any particular manufacturer or seller except as expressly authorized in subsections d. and e. of this rule.

d. HCCS may specify a particular brand name, make or product suffixed by "or equal," "or approved equal," "or equivalent," "or approved equivalent" or similar language if there is no other practical method of specification after documenting the procurement file with the following:

(1) A brief description of the solicitation(s) to be covered, including contemplated future purchases;

(2) Description of the brand name, mark or product to be specified; and

(3) A brand name specification may be prepared and used only if HCCS determines for a solicitation or class of solicitations that only the identified brand name specification will meet the needs of HCCS based on one or more of the following written determinations:

(a) The use of the brand name specification is unlikely to encourage favoritism in the awarding of public contracts or substantially diminish competition for public contracts; or

(b) Specification of the brand name, mark or product would result in substantial cost savings to HCCS; or

(c) There is only one manufacturer or seller of the product of the quality, performance or functionality required; or

(d) The efficient utilization of existing goods requires the acquisition of compatible goods and services.

(4) HCCS shall make reasonable effort to notify all known suppliers of the specified product and invite such vendors to submit competitive bids or proposals.

e. HCCS may purchase a particular product or service available from only one source, after documenting the procurement file with HCCS's findings of current market research to support the determination that the product is available from only one seller or source. HCCS's findings shall include:

(1) A brief description of the contract or contracts to be covered, including contemplated future purchases;

(2) Description of the product or service to be purchased; and

(3) The reasons HCCS is seeking this procurement method, which shall include any of the following:

(a) That the efficient utilization of existing equipment, supplies or services requires the acquisition of compatible equipment, supplies or services; or

(b) That the goods or services required for the exchange of software or data with other public or private agencies are available for only one source; or

(c) That the goods or services are for use in a pilot or an experimental project; or

(d) Other findings that support the conclusion that the goods or services are available from only one source.

(4) To the extent reasonably practical, the contracting agency shall negotiate with the sole source to obtain contract terms advantageous to the contracting agency.

f. HCCS may specify a product or service available from only one manufacturer but available through multiple sellers, after documenting the procurement file with the following information:

(1) If the total purchase is over $10,000 but does not exceed $100,000, and a comparable product or service is not available under an existing state cooperative purchasing contract, competitive quotes shall be obtained by HCCS and retained in the procurement file; or

(2) If the amount of the purchase exceeds $100,000, the product or service shall be obtained through competitive bidding unless a specific exemption is granted by the LCRB.

g. If HCCS intends to make several purchases of the product of a particular manufacturer or seller for a period not to exceed five years, HCCS will so state in the solicitation file and in the solicitation document, if any. Such documentation shall be sufficient notice as to subsequent purchases. If the total purchase amount is estimated to exceed $100,000, this shall be stated in the advertisement for bids or proposals.

Findings of Fact/Conclusion of Compliance with Law

It is unlikely that this process will encourage favoritism in the award of public contracts or substantially diminish competition for such contracts, as required by ORS 279C.335(2)(a).

This class exemption applies only to contracts under a limited dollar amount, and then, only after efforts to obtain competitive quotes are made, or other methods have been employed to ensure that competitive means are used if available. HCCS maintains open lists from which vendors are contracted for quotations. In addition, as required by ORS 279C.335(2)(b) award of a public contract subject to the above described exemption should likely result in substantial cost savings or other substantial benefits to HCCS by virtue of the ability to reduce solicitation costs when it is known that comparable products are not available, or when specifying another product solely to meet a competition requirement might lead to lower initial cost but longer lifetime cost.

2. Product Prequalification

a. When specific design or performance specifications must be met or such specifications are impractical to create or reproduce for a type of product to be purchased, HCCS may specify a list of approved or qualified products by reference to the prequalified product(s) of particular manufacturers or vendors in accordance with the following product prequalification procedure:

(1) HCCS will make reasonable efforts to notify all known manufacturers and vendors of competing products of HCCS's intent to compile a list of prequalified products. The notice will explain the opportunity manufacturers and vendors of competing products will have to apply to have their product(s) included on HCCS's list of prequalified products. At its discretion, HCCS may provide notice by advertisement in a trade paper of general statewide circulation or other appropriate trade publication; or instead of advertising, HCCS may provide written notice to those manufacturers and vendors appearing on the appropriate list maintained by HCCS; and

(2) HCCS will accept manufacturer and vendor applications to include products in HCCS's list of prequalified products up to 15 calendar days prior to the initial advertisement for

bids or proposals for the type of product to be purchased, unless otherwise specified in the advertisement or in HCCS's written notice.

b. HCCS has determined that special expertise required, generally, does not apply to this rule.
c. If HCCS denies an application for inclusion of a product on its list of prequalified products, HCCS shall promptly provide the applicant with a written notice of the denial and include the reason for denial. The applicant may submit a written appeal within seven calendar days to the HCCS administrator/principal or designee to request review and reconsideration of the denial.

Findings of Fact

a. There are occasions when HCCS needs to establish a list of prequalified products before it invites bids or proposals to furnish the products. HCCS may have a specific performance or design need, but it is impractical for HCCS to create a specification for the type of products to be purchased. An example is audiovisual equipment. There is a tremendous variety of audiovisual products offered in the market. The equipment technology is complex and constantly changing. It would be very burdensome and time consuming for HCCS to generate nonbrand name, generic performance specifications for such equipment every time it wants to make a purchase.

   Also, competition would be poorly served because bidders and proposers would not know in advance whether their offered product would meet the general specification substantially enough to be considered a responsive offer. The decision to make an award would be slow, because each product offered would have to be analyzed against HCCS's specification. Slowdown in the award process affects both bidders, who are asked to hold their bids open until award is made, and public charter school programs, because staff are not able to order the equipment they need until the contract is awarded.

   In this case, it might be more cost effective and efficient for HCCS to prequalify products and establish a list of approved products before invitations to bid are sent out. The prequalification process can be done some time before the need for a new contract. Once the prequalified product list is established, the bidding and contract award process can go quickly and smoothly.
b. A second occasion when prequalification of products will be useful is when the specific design or performance specifications for a product are so exacting that HCCS must have time to carefully consider what is offered in the market that may or may not meet the specifications and, if necessary, reconsider its options before issuing an invitation to bid.
c. This rule sets out a process of prequalification which requires the use of advertisement or other appropriate means to notify vendors of competing products of their opportunity to submit items for prequalification. HCCS maintains vendor mailing lists which are open to all interested vendors. HCCS uses these lists routinely to notify vendors of its intentions to prequalify products or to invite bids on products.
d. This includes a 15-day time limit between the closure of a prequalification list and a related invitation to bid. This time factor ensures that vendors have a reasonable time to apply to include their products on a prequalified product list.
e. Subsection c. of this rule provides vendors with an appeal process to follow if their application for prequalification is denied.

Conclusion of Compliance with Law

Where prequalification of products is appropriate, it is unlikely that this exemption will encourage favoritism in the awarding of public contracts or diminish competition for such contracts as required by ORS 279C.335(2)(a). There are several safeguards in the rule to prevent this, including notice, advertising, time and appeal process requirements to ensure that vendors are given a fair and open opportunity to participate in the prequalification process.

The prequalification of products process is a time-consuming effort for HCCS. It is not a shortcut procurement method. HCCS would use this method only after balancing cost-saving considerations, such as the ability of HCCS to create or generate nonbrand name generic specifications for types of products or the need for lengthy product evaluation prior to a contract award. If the prequalification method is chosen, it will likely result in a substantial cost savings and other substantial benefits to HCCS as required by ORS 279C.335(2)(b) because the normal method of product selection is too cumbersome and costly to pursue.

3. Requirements Contracts (Blanket Purchase Orders, Price)[3]

   a. The administrator/principal or designee, on behalf of HCCS, may establish requirements contracts for the purposes of minimizing paperwork, achieving continuity of product, securing a source of supply, reducing inventory, combining public charter school requirements for volume discounts, standardization among schools and departments and reducing lead time for ordering.
   b. HCCS has determined that value engineering, specialized expertise required and technical complexity, generally, do not apply to this rule.
   c. HCCS may enter into a requirements contract (also known as a blanket purchase order or price agreement) whereby it is agreed to purchase goods or services for an anticipated need at a predetermined price or price discount from a price list, provided the contract is led by a competitive procurement process pursuant to the requirements of the public contracting code and these rules.
   d. Once a requirements contract is established, schools and departments may purchase the goods and services from the awarded contractor without first undertaking additional competitive solicitation.
   e. Schools and departments shall use requirements contracts established by HCCS, unless otherwise specified in the contract, allowed by law or these rules or specifically authorized by the administrator/princpal or designee.
   f. Under the authority of ORS 279A.025 and 279C.335, HCCS may use the requirements contracts entered into by another Oregon public agency when:

      (1) The original contract met the requirements of the public contracting code; and
      (2) The original contract allows other public agency usage of the contract; and
      (3) The original public contracting agency concurs and this is documented by a written interagency agreement between HCCS and the agency.

[3] The Oregon Procurement Information Network (ORPIN) allows authorized members to utilize the state's price agreement/contracts to purchase goods and services. Authorized ORCPP members can legally attach to a state price agreement and forego the competitive bid process. Access to hundreds of competitive price contracts for a wide variety of goods and services: vehicles, computers, furniture, copiers, fax machines, travel, pharmaceuticals, office products, etc., is available.

g. The term of any public charter school requirements contract, including renewals, shall not exceed five years unless otherwise exempted pursuant to ORS 279C.335.

Findings of Fact

a. This rule permits HCCS to enter into requirements contracts, in which the vendor agrees to provide specified goods and services over the term of the contract at the bid price or discount rate. A requirements contract is useful when the purchase of the goods or services are routine and repetitive. For example, school, building, office, custodial and facilities maintenance supplies are customarily purchased through requirements contracts.
b. Requirements contracts are a common method of minimizing paperwork, achieving continuity of product, securing a source of supply, reducing inventory, obtaining volume discounts, standardizing usage among schools, buildings and departments and reducing lead time for ordering.
c. HCCS establishes requirements contracts as a result of open competitive bidding or RFP processes, unless otherwise exempted.
d. HCCS limits the term of a requirements contract, including all renewal options, to a maximum of five years before competitive rebidding must be done, unless otherwise exempted.
e. HCCS may use the requirements contracts established by other public agencies, subject to certain conditions of state law, Board policy and administrative regulation.

Conclusion of Compliance with Law

It is unlikely that this exemption will result in favoritism in the awarding of public contracts or diminish competition for such contracts, as required by ORS 279C.335(2)(a). HCCS will only enter into requirements contracts which result from open competitive bidding processes. This condition applies also to the use of requirements contracts established by other public contracting agencies.

The awarding of public charter school requirements contracts will likely result in a substantial cost savings and other substantial benefits to HCCS, as required by ORS 279C.335 (2)(b). It would be costly and inefficient to make routine, repetitive purchases of goods and services through individual transactions. Also, the guaranteed volume of a requirements contract allows HCCS to get better prices from bidders.

4. Waiver of Bid Security Requirements (Public Improvement Contracts under $100,000)

The LCRB may, at its discretion, waive the bid security requirements of ORS 279C.390, if the amount of the contract for the public improvement is less than $100,000. Although the bid security requirements of ORS 279C.390 are waived for public improvement contracts under $100,000, HCCS may impose a bid or quote security requirements for projects under $100,000, when deemed to be in the best interest of HCCS.

Findings of Fact/Conclusion of Compliance with Law

This rule allows the LCRB to waive bid security requirements for certain public improvement contracts. Waiver of the bid security is provided for by statute without a requirement for findings.

5. Waiver of Performance and Payment Security Requirements (Public Improvement Contracts under $100,000)

   The LCRB may, at its discretion, waive the performance/payment security requirements of ORS 279C.390 if the amount of the contract for the public improvement is less than $100,000. Although the performance/payment security requirements of ORS 279C.390 are waived for public improvement contracts less than $100,000, HCCS may impose a performance/payment security requirement for projects less than $100,000 when deemed to be in the best interest of HCCS.

   Findings of Fact/Conclusion of Compliance with Law

   This rule allows the LCRB to waive performance/payment security requirements for certain public improvement contracts. Waiver of the performance/payment security is provided for by statute without a requirement for findings.

6. Projects with Complex Systems or Components

   a. For contracts for public improvements with significant components that are inherently complex and are also complex to procure through competitive bid, HCCS may, at its discretion, use RFP competitive procurement methods subject to the conditions described in ORS 279C.400 and conditions enumerated in this exemption.
   b. Definitions. For purposes of this exemption only: “Complex Systems” are defined as those systems which incorporate the procurement of materials or other components which are difficult, if not impossible, to create in an “equal” specifications basis for competitive bid. Examples of such systems include but are not limited to, contracts for supplying and installing computerized controls for building heating, venting, air conditioning systems; and contracts for artificial surface outdoor multipurpose athletic fields. “Significant” is intended to mean something more than de minimis, but not necessarily the majority of the project as determined by cost.

   Finding of Fact/Conclusion of Compliance with the Law

   It is unlikely that this exemption will encourage favoritism in the awarding of the public contracts or substantially diminish competition for such contracts as required by ORS 279C.335(2)(a). Contracts for public improvements occasionally incorporate the procurement of systems, materials, or other components (complex systems) for which it is extremely difficult to design bid specifications. In these situations, utilization of a RFP process where each of the systems can be evaluated utilizing a number of factors, in addition to price, will likely result in substantial cost savings and other substantial benefits to HCCS as required by ORS 279C.335(2)(b).

   The ORS 279C.400 enumerates how RFP’s are to be used if authorized by the LCRB. This criteria, ensures that competitive means will be used and selection will be fair and impartial. As a result, it is unlikely that this process will encourage favoritism in the awarding of public contracts or substantially diminish competition for such contracts as required by ORS 279C.335(2)(a). The awarding of contracts pursuant to this process will result in optimal value to HCCS based on selection by HCCS of the best competitive proposal that meets the stated evaluative criteria.

   This class exemption is intended to be used for the types of procurements describe in the findings, where the specific system, materials or components represent a significant portion of the project.

This class exemption is not intended to be used for construction manager/general contractor (CM/GC) projects or other methods of alternative procurement unless these projects meet the requirements of this class exemption. The CM/GC and others, not meeting the requirements of this class exemption, may still be procured by RFP, provided that a project or contract specific exemption is promulgated by the LCRB.

Code: DJC
Adopted: 7/21/21

Bidding Requirements

The Board is the Local Contract Review Board (LCRB) for HCCS. All public contracts shall be invited in accordance with applicable competitive procurement provisions of the Oregon Revised Statutes and the adopted public contracting rules.

The Board, acting as its own LCRB, adopts[1] the *Oregon Attorney General's Model Public Contract Rules*, Oregon Administrative Rule (OAR) Chapter 137, Divisions 046 through 049 in effect at the time this policy is adopted.

HCCS shall procure the construction manager/general contractor services in accordance with model rules the Attorney General adopts under Oregon Revised Statute (ORS) 279A.065(3).

Additionally, the Board may include as part of its rules portions of the Oregon Department of Administrative Services rules governing Public Contract Exemptions, OAR Chapter 125, Divisions 246-249 in effect at the time this policy is adopted.

Where necessary, the Board has made the written findings required by law for exemptions from competitive bidding. Such findings shall be maintained by HCCS and made available on request.

HCCS shall review its rules each time the Attorney General adopts a modification of the model rules, as required by ORS 279A.065(6)(b), to determine whether any modifications need to be made to public charter school rules to ensure compliance with statutory changes. New rules, as necessary, shall be adopted by the Board. In the event it is unnecessary to adopt new rules, Board minutes will reflect that the review process was completed as required.

The Board recognizes that a public contracting agency that has not established its own rules of procedure as permitted under ORS 279A.065(5) is subject to the model rules adopted by the Attorney General, including all modifications to the model rules that the Attorney General may adopt.

[1] Public Contracts shall be governed by ORS Chapter 279, 279A, 279B and 279C. Additionally, the Board may, as provided by ORS 279A.065, adopt the Oregon Attorney General's Model Public Contract Rules, OAR Chapter 137 governing purchasing/ bid procedures. The Board may also adopt the Oregon Department of Administrative Services rules governing Public Contract Exemptions, OAR Chapter 125. The Board may adopt portions of those rules or adopt its own rules. A Board that has not established its own rules of procedure for public contracts is subject to the model rules (OAR Chapter 137) adopted by the Attorney General.

Procurements estimated to be in excess of $250,000 shall go through the cost analysis and feasibility process described in ORS 279B.

END OF POLICY

Legal Reference(s):

ORS Chapters 279, 279A, 279B and 279C

ORS 338.115

OAR Chapter 125, Divisions 246-249

OR. DEP'T OF JUSTICE, OR. ATT'Y GENERAL'S MODEL PUBLIC CONTRACT RULES MANUAL.

Cross Reference(s):

DJ - Purchasing

Code: DJ
Adopted: 7/21/21

Purchasing

The function of public charter school purchasing is to serve the educational program by providing the necessary supplies, equipment and services. Items commonly used will be standardized and be consistent with educational goals and in the interest of efficiency or economy.

The administrator/principal or designee is appointed by the Board to serve as purchasing agents.

The administrator/principal or designee is authorized to enter into and approve payment on contracts obligating HCCS funds not to exceed $5,000 for products, materials, supplies, capital outlay and services that are within current budget appropriations.

The director of operations will review all invoices due and payable for the purchase of supplies and services to determine if they are within current budget appropriations. After review, the business manager will direct payment of the just claims against HCCS. The director of operations and business manager are responsible for the accuracy of all bills and vouchers. Invoices for payment of more than $5,000 that are not within budget appropriations will also be approved by the Board before issuance of payment. An invoice for payment on a contract that is above $5,000, is already approved and contracted by the Board and is within budget appropriations will not require Board approval.

No obligation may be incurred by any officer or employee of the Board unless that expenditure has been authorized in the budget, by Board action and/or Board policy.

No Board member, officer, employee or agent of HCCS shall use or attempt to use their official position to obtain financial gain or for avoidance of financial detriment for themself, a relative or a member of their household, or for any business with which the Board member, relative or member of household is associated. Acceptance of any gratuities, financial or otherwise, from any supplier of materials or services to HCCS by any Board member, officer or employee of the public charter school is prohibited.

END OF POLICY

Legal Reference(s):

ORS 244.040
ORS Chapters 279, 279A, 279B, 279C
ORS 294.311
ORS 328.441 to -328.470
ORS 338.115(2)
OAR 125-025-0040

Cross Reference(s):

BBA - Board Powers and Duties
BBFA - Board Member Ethics and Conflicts of Interest
DJC - Bidding Requirements

Code: DLC-AR
Revised/Reviewed: 7/21/21
Orig. Code(s): P-11

Tuition Assistance and Staff Expense Reimbursement

Tuition Assistance

HCCS will establish a pool of $30,000 for tuition assistance each school year to promote education and development of professional skills for its employees.

1. Application Guidelines

    a. Process: Prior to beginning classes, employees must first discuss development goals with their supervisors and complete the Tuition Assistance Application. Employees submit the completed application to the administrator/principal or designee. Applications are reviewed four times per year. Employees are notified of the award decisions in writing within two weeks of receipt of the application. Incomplete and late applications will not be accepted.

    b. Eligibility: Funding is available to all regular employees who:

        (1) Are budgeted hours per week and maintain that status while completing course work.
        (2) Have completed six months of employment.
        (3) Have not been under any disciplinary action within the past 12 months or at the time of reimbursement.

    c. Criteria: Applications are assessed for the following criteria:

        (1) The course is aligned with the vision, mission, and goals of the organization.
        (2) The education provided skills and knowledge needed in the future at HCCS.
        (3) The education will increase HCCS's workforce flexibility.
        (4) The education has a reasonable relationship to education.
        (5) The education can be used in the employee's current position.

    d. Approval Required: Coursework beginning before approval is granted will not be considered for reimbursement.

    e. Dates: Tuition assistance is based on the fiscal year. Applications are accepted four times per year:

        (1) Fall term: Classes starting between September 1st and November 30th
        (2) Winter term: Classes starting between December 1st and February 28th
        (3) Spring term: Classes starting between March 1st and May 31st
        (4) Summer term: Classes starting between June 1st and August 31st

2. Coursework Guidelines

    a. Accreditation: Tuition reimbursement will only be awarded for coursework from accredited U.S. secondary schools, colleges, and universities. For the purposes of this procedure, accredited schools are listed on the U.S. Department of Education website at http://ope.ed.gov/accreditation/

b. Scheduling: Classes must be taken outside of normally scheduled work time. Employees will not be reimbursed for time spent in class on coursework.
c. Degree Programs: Coursework must apply towards a baccalaureate or graduate degree or endorsement. Exam fees and certification fees are not reimbursable.
d. Changes in Coursework: Employees must notify the administrator/principal or supervisor of any changes in coursework or the non-use of funds in writing in order to remain eligible for tuition assistance. Failure to do so will result in future denials.

3. Reimbursement Guidelines

a. Process: Final grade(s) and a detailed receipt must be submitted to the human resources/business manager within 30 calendar days of class completion using the Expense Report form. Any reimbursement claims submitted after 30 calendar days of course completion may be denied. Receipts and final grade documentation must have the employee's full name and the name of the post-secondary school. Reimbursement will be issued within 30 calendar days of receipt of documentation by HCCS.
b. Eligible expenses: Employees will be reimbursed for tuition costs only.
c. Ineligible expenses:

(1) Books
(2) Lab fees
(3) Application fees
(4) Technology fees
(5) Software
(6) Student activity fees
(7) Fines
(8) Lodging
(9) Shipping
(10) Supplies and equipment
(11) Transportation and parking fees
(12) Exam or certification fees
(13) Recertification fees

d. Grades: Reimbursement will only be offered for courses completed with a grade of "C" (2.0) or better for undergraduate level and "B" (3.0) or better for graduate level.
e. Annual and Lifetime Maximums: HCCS reimburses employees up to a maximum of $3,000 annually. Percentage may vary term to term based on the availability of funds.
f. Limitations: Reimbursement is limited to the amount approved on the initial application.
g. Other Financial Assistance: Employees must disclose other sources of financial assistance including grants and scholarships at the time of application. Failure to do so will result in future denials of tuition assistance. Employees may not receive more than 100 percent of eligible expenses after accounting for funding from other sources.

Expense and Travel Reimbursement

Expense reimbursement for staff traveling on approved HCCS business will be governed by the following procedures. "Travel expenses" include travel fares, meals and lodging and expenses incident to travel. Only travel expenses as are ordinary and necessary in the conduct of approved travel for school business purposes and directly attributable to it will be reimbursed. As used in this regulation an "ordinary" expense means one that is common and accepted in the profession; a "necessary" expense means one that is essential and appropriate in order to conduct school business.

Reimbursement procedures established by HCCS will also apply to Board members traveling on Board-approved school business, as applicable.

Travel by employees that is more than 25 miles from HCCS and takes the employee out-of-state require prior approval from the administrator/principal.

Out-of-country travel plans require prior approval from the HCCS Board.

Insurance Coverage

1. Insurance costs are included as part of the mileage reimbursement for employees authorized to use a private vehicle to conduct school business. It is the responsibility of the owner or driver of the vehicle to be certain that the vehicle is adequately covered by insurance.

2. The responsibility of the school for damages resulting from vehicle accidents is not the same as set forth in the school's general liability insurance policy. The employee's insurance coverage provides primary coverage when the employee is driving their own vehicle on approved school business.

3. All employees operating private vehicles on approved school business are required to complete and maintain on file with HCCS verification of vehicle liability insurance that meets or exceeds Oregon statutory minimum limits. This verification is required annually. Employees are required to update their verification of vehicle liability information maintained on file with HCCS upon **any** change in the employee's vehicle insurance coverage.

Meals and Meetings

1. Reimbursement will be made for ordinary and necessary meal expenses incurred in the course of approved travel for school business. Meals include amounts spent for food, beverage, taxes and related gratuities. Purchase of alcoholic beverages will not be reimbursed by the school. See **Expense Reimbursement Request and Accounting Procedures** below.

2. Expenses in excess of the school's established limit are ordinarily the responsibility of the employee and may be reimbursed only with approval from the administrator/principal or designee. Receipts for all meal expenses must be secured and attached to the claim.

Travel Advances

1. A travel advance may be requested when the estimated cost for meals, lodging, etc., exceeds $50. The travel advance request may be submitted to the director of operations or designee.

2. The cost of commercial travel tickets will not be included in a cash advance request.

3. In the event of loss, the employee is personally responsible for cash advances issued and for any third-party use of a HCCS-provided credit card.

4. At least 10 working days are required for processing an advance check after the approved request is received by the business office.

5. Only one cash advance may be outstanding to any employee at any time.

Reservations, Commercial Carrier, and Lodging

1. Travel must be conducted in the most expeditious and cost-effective manner by HCCS.

2. Each employee is responsible for making their own reservations with approval from the administrator/principal or director of operations.

Vehicle Rentals

1. Rental vehicles may be used only when use will affect a savings or otherwise be more advantageous to HCCS or when the use of other transportation is not feasible.

2. Rental of a compact vehicle is recommended when suitable for approved school business because of the lower initial rate and the guaranteed rate. Certain rental agencies guarantee the compact rate in all owned stations and in most licensee stations.

3. Rental vehicles will be used only for official travel or in lieu of taxi for necessary travel. Any additional costs incurred for other usage will be the personal responsibility of the traveler.

4. Employees will be informed if HCCS carries the rental car endorsement as part of its insurance coverage. In the event HCCS does not carry the rental car endorsement the employee will need to gain authorization to purchase insurance coverage from the rental agency.

Cancelled Trips

1. If an employee cannot leave at the scheduled time, it is the employee's responsibility to call the travel agency or carrier and arrange to have the tickets and/or reservations cancelled or exchanged.

2. Commercial carrier reservation cancellations must be made at least 24 hours before departure time, whenever possible.

3. Lodging reservations must be cancelled by the employee as soon as possible to avoid a cancellation charge.

4. If a trip is cancelled after an advance and/or tickets have been issued, the advance and tickets must be returned to the business office immediately.

Personal Travel Combined with HCCS Business Travel

1. If an individual traveling on approved school business engages in both business and personal activities, travel expenses incurred will be reimbursed only for expenses that are ordinary and necessary in the conduct of public charter school business. Expenses incurred as a part of personal business are the sole responsibility of the traveler.

2. When personal travel is combined with approved school business travel and the individual is traveling by less than the most expeditious and cost-effective manner, any additional costs must be paid by the traveler.

3. Time away from work caused by traveling by less than the most expeditious means available for personal purposes must be charged to vacation or other appropriate leave.

4. Vacation or other personal leave may be taken in conjunction with approved school travel subject to the following:

    a. Time delays related to approved school business are charged as working time even if no work is performed;
    b. If the employee travels by less than the most cost-effective manner, as determined by HCCS, for approved school business or for personal travel combined with travel for school business purposes, the employee must pay the additional cost (e.g., increased fare, meals, lodging expenses, etc.) incurred as a result of the personal travel;
    c. All subsistence and local transportation (e.g., taxi, vehicle fare, etc.) while on vacation status or other appropriate leave must be paid by the employee;

d. The traveler will not be required to pay any of the basic transportation costs incurred as a part of the approved school business, even though the employee spends a substantial part of the total time away from home on vacation or other personal leave, provided the employee was traveling on approved school business;
e. A traveler who decides to conduct school business on their own time without prior approval, while on vacation or other personal leave, cannot then use this as a justification to have the school pay their basic transportation cost from the school to the location visited, or submit a request for other expense reimbursement.

Expense Reimbursement Request and Accounting Procedures

1. Reimbursement requests detailing actual expenditures must be submitted on the school's expense form and approved by the administrator/principal or designee in writing. Receipts and supporting documentation must accompany all expense reimbursement requests. This includes, but is not limited to, receipts for transportation, lodging, meals, registration, conference and workshop fees. All requests must be submitted to the school office within 30 calendar days of the conclusion of the trip.

   a. If the completed expense report totals less than the travel advance, the difference must be returned within 15 working days to the business office with the report.
   b. Reimbursement for expenditures in excess of a travel advance, or where no travel advance has been requested, will be made within 30 calendar days after the approved travel expense report is received by the business office.

2. Expenses which consist primarily of the cost of furnishing meals for others will be reimbursed upon submission of a travel expense report which includes:

   a. The names of guests;
   b. The organizations involved;
   c. A full explanation of the school business purpose of the meeting.

3. In the event a vehicle was rented, a copy of the rental agreement must be attached to the travel expense report. The rental charge should be paid from the amount advanced, as applicable. Purchase of gas and oil which have been deducted from the rental charge by the rental agency must be included.

4. Any claim for mileage reimbursement only may be submitted at the end of each month in which reimbursement is to be claimed. A claim must be submitted no later than 60 calendar days of incurring the expense. Reimbursement claims later than 60 calendar days of the expense will be denied.

5. Mileage for approved school business travel in a private vehicle will be reimbursed at the current rate per mile established by the school or Internal Revenue Service (IRS), as applicable. Reimbursement that exceeds the IRS rate will be included as income to the employee in accordance with IRS regulations.

6. Meal expenses for approved school business travel purposes, may be reportable as income to the employee in accordance with IRS regulations. Generally, meal expenses incurred for approved school business purposes in which school business is conducted with at least one or more other persons, or that is incurred on approved school business for a trip that is overnight, or long enough that the individual needs to stop for sleep or rest to properly perform their duties, as defined by the IRS, will not be reportable as income to the employee.

7. In the event the total of the amount charged to, and/or received from the school by the employee as advances, reimbursement or otherwise, exceeds the ordinary and necessary business expenses, the excess must be reported as income in accordance with IRS requirements.

Reimbursable Expense Limitations

1. Meal expenses may be reimbursed subject to the following limitations:

Allowance:	Breakfast	$14
	Lunch	$16
	Dinner	$26

2. Gratuities must not exceed 15 percent and must be included as a part of the receipt. Gratuities in excess of 15 percent are the responsibility of the employee and will not be reimbursed by the public charter school.

3. Other expenses such as toll charges, parking fees, valet services, cleaning, pressing and laundry may be reimbursed if length of a trip or circumstances demand.

4. Mileage reimbursement for actual miles traveled on school business, may be approved subject to the following limitations:

   a. Mileage reimbursement will not be granted to an employee, other than a school-approved tutor, for traveling from their residence to the place where work begins for the day or for returning home from the last place worked during the day;
   b. Reimbursement will be made only for those miles actually traveled in the course of completing approved school business. When chauffeured, mileage for two round trips and short-term parking will be reimbursed if not greater than the cost of one round trip plus economy parking;
   c. Group travel may be requested on one travel request form for a group traveling together as long as advance and reimbursement is payable to one person who has complete responsibility for reporting expenses;
   d. In the event a private vehicle is approved for use from home, to or from airport or railroad station, mileage for one round trip and economy parking will be reimbursed. Parking receipts are required;
   e. Individuals requesting reimbursement for use of a private vehicle on approved school business must meet insurance requirements. See **Insurance Coverage** above.

5. Lodging will be reimbursed at reasonable commercial rates.

6. Local taxi, shuttle, ride shares, bus fares, and vehicle rentals may be reimbursed, subject to the school's requirement that travel selected is by the most expeditious, cost-effective manner, as determined by HCCS.

Code: DLC
Adopted: 7/21/21

Expense and Tuition Reimbursements

HCCS will reimburse employees for authorized expenses incurred for professional growth, e.g., tuition, and/or job requirements in accordance with administrative regulations developed by the administrator/principal or designee and consistent with Internal Revenue Service requirements.

END OF POLICY

Legal Reference(s):

ORS 294.155

ORS 338.115(2)

OAR 581-022-2660

I.R.C. § 162 (2006); Business Expenses, 26 C.F.R. 1.162-1.
INTERNAL REVENUE SERVICE, PUBLICATION 463: TRAVEL, ENTERTAINMENT, GIFT AND CAR EXPENSES.

Cross Reference(s):

BHD - Board Member Compensation and Expense Reimbursement
EEBB - Use of Private Vehicles for HCCS Business

Code: DN
Adopted: 7/21/21

Disposal of Public Charter School Property

The Board or the Board's designee may, at any time, declare HCCS property as surplus and authorize its disposal when such property is no longer useful to the school, unsuitable for use, too costly to repair or obsolete.

If reasonable attempts to dispose of surplus properties fail to produce a monetary return to HCCS, they may be disposed of in another manner.

If the charter is terminated or HCCS is dissolved, the assets of HCCS that were purchased with public funds shall be given to the State Board of Education.

If HCCS property was purchased with state, federal or private grant funds disposal of the property shall be made as outlined in the grant or by state or federal regulations.

END OF POLICY

Legal Reference(s):

ORS 279B.055
ORS Chapters 279A, 279B and 279C
ORS 332.155
ORS 338.105(6)
ORS 338.115(2)

EDUCATION, TITLE 34 C.F.R. PART 80 § 80.32(e).